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HOMI P. RANINA

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“My commitment to Ratan Tata’s vision includes a responsibility to ensure that the Tata Trusts are not plunged into controversy. Precipitating matters would cause irreparable harm to the reputation of the Tata Trusts”

MEHLI MISTRY

FORMER TRUSTEE, TATA TRUSTS

GETTING ALL ON BOARD

Complicating matters is an unanimity clause that was brought in last year after Noel Tata’s elevation, which removes tenure limits for trustees, making them eligible for lifetime appointment. However, the trustees must receive unanimous approval for such reappointment.

An investment banker who has worked closely with the Tata group, says the unanimity clause could prove tricky while finding Mistry’s replacement. “After all, everyone has a veto power,” he says.

Eminent lawyer and tax expert Homi P. Ranina says the resolution passed last October by Tata Trusts that all trustees would be appointed for life was done to avoid any uncertainty or dispute.

“Till then, all appointments were for a finite period. All trustees had unanimously agreed to that resolution,” he explains. Ranina clarifies that if that resolution has to be rescinded, it will necessarily have to go back to the trustees for their unanimous approval. “An appointment for life is the norm at every charity trust, and it is not unique to Tata Trusts,” he adds.

THE NEXT STEP

The potential legal challenge apart, there are questions that remain unanswered. Most important is the vacant position of a trust nominee on Tata Sons’ board.

According to Amit Tungare, Managing Partner, Asahi Legal, replacing Mistry is the discretion of Tata Trusts.

“There is a chance they may not even do it and retain the current structure. At this stage, it does not really matter nor is it bound by any kind of a deadline.”

With Mistry’s departure, Bombay House will look to get back to business devoid of distractions. **BT**

@krishnagopalan

a private company are completely different. “In the case of Tata Trusts, they are a public trust, governed by the Maharashtra Public Trust Act, 1950. The Tata Trusts are under the regulatory supervision of the Charity Commissioner, Maharashtra, and do not have a separate legal entity,” she says.

By comparison, a company, be it public or private, is governed by the Companies Act, 2013. It operates under the regulatory authority of the Registrar of Companies and Regional Director, that come within the purview of the Ministry of Corporate Affairs. “They have a separate legal entity and are formed via a Memorandum of Association and Articles of Association,” says Chandele.

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Sukrit R. Kapoor, Partner (Disputes and Litigation), King Stubb & Kasiva, Advocates and Attorneys, says unlike a company, Tata Trusts is a non-profit. “The trust has its own trust deed and follows the principles laid down there. Besides, the trust has its own board of trustees who act and function as per the trust deeds,” he says.

The profits earned by Tata Sons flow into Tata Trusts, which, in turn, use the money for public welfare and charitable causes. The Indian Trust Act, 1882, says Kapoor, is an indication of how long trusts have been around in India.

So, any challenge is unlikely to be straightforward.